BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

Case 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Gas Infrastructure and

Operations Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
GAS INFRASTRUCTURE AND OPERATIONS PANEL
REBUTTAL TESTIMONY

Q. Please state your names.

A. Our names are Mary Kelly, Amr Hassan, Robert Massoni, Christine Cummings and Victoria Weidemann.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We previously submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc.'s ("Con Edison" or "Company") as the Gas Infrastructure and Operations Panel ("Panel").

Q. What is the purpose of the Panel's rebuttal testimony?

A. We are responding to the testimony of the following parties:

- Staff Gas Reliability and Supply Panel ("SGRSP") regarding capital adjustments, O&M expense adjustments related to incremental full-time equivalents ("FTEs"), capital reporting and renewable natural gas interconnections;
- Staff Gas Safety Panel ("SGSP") regarding Leak Management, Emergency Response, Compliance with Pipeline Safety Regulations and Gas Safety Reporting;
- Staff Consumer Services Panel ("SCSP") regarding gas service line inspections;

- New York City ("NYC") Policy Panel regarding gas planning;
- NYC Witness John P. Sano regarding capital adjustments, Leak Management, Emergency Response and Compliance with Pipeline Safety Regulations;
- Natural Resources Defense Council ("NRDC") Witness Alice Napoleon regarding gas planning, alternatives to leak prone pipe replacement and renewable natural gas interconnections;
- New York State Assembly Members ("MOA") Dana Levenberg and MaryJane Shimsky regarding the 100-foot rule and obligation to serve; and
- MOA Chris Burdick regarding the Westchester gas moratorium.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

REBUTTAL

Q. Before turning to address the specific adjustments that Staff and other intervenors proposed for the Company's planned projects and programs are there any general comments the Panel would like to provide?

A. Yes, as we will discuss in more detail below, many of Staff's proposed adjustments are based on historic underspending for specific projects and programs. However, Staff's analysis ignores the Company's actual expenditures compared to its overall gas capital budgets and fails to recognize the challenges the Company faces operating in a dynamic environment.

Q. What is the basis for the Company's contention that Staff's analysis ignores the Company's overall performance relating to gas capital expenditures?

A. SGRSP's direct testimony selectively focuses its analysis on specific capital projects and programs, which might reasonably lead a reader to conclude that, on an overall basis, the Company has previously underspent approved capital funding. However, this is not the case. The Company's overall gas capital expenditures (including

Public Improvement) were $1,032 million in 2022, $929 million in 2023 and $1,058 million in 2024. This compares to corresponding rate case budgets of $970 million in 2022, $974 million in 2023 and $1,020 million in 2024. The resulting variances of $61 million in 2022, ($44 million) in 2023, and $38 million in 2024 demonstrate actual expenditures that are in line with rate case budgets.

Q. Did the SGRSP discuss the Company's overall gas capital expenditures in their direct testimony?

A. No, they did not.

Q. Did Staff Exhibit ___ (SGRSP-2) include any analysis of the Company's overall gas capital expenditures similar to the analysis it presented for select, individual projects and programs?

A. No, however in response to Company interrogatory CECONY-7-87 (Exhibit ___ (GIOP-6)) Staff does apply a similar analysis to the Company's overall gas capital expenditures.

Q. What are the results of Staff's analysis?

A. Consistent with the Panel's testimony above on actual vs. budget expenditures on an overall basis, Staff's results demonstrate that the Company's overall gas capital

expenditures have historically been in line with its rate case budgets.

Q. How has Staff failed to recognize the challenges faced by the Company?

A. Implicit in SGRSP's direct testimony is the notion that utilities should ignore unforeseen circumstances resulting in shifts in priorities that might reasonably arise during a rate plan. Instead, under Staff's reasoning, utilities should be required to make capital expenditures that match rate case budgets down to each and every individual project and program, regardless of circumstances or shifting priorities, or otherwise risk losing future funding for such projects.

Q. But shouldn't Staff and the parties expect some consistency between the Company's capital expenditures and rate case budgets?

A. Generally speaking, yes and as demonstrated above the Company's actual capital expenditures have aligned with its budgets on an overall basis. However, the Company operates in a dynamic environment where it is reasonable to expect that priorities may shift and, as a result, planned capital

expenditures change. This flexibility is vital for the Company to continue meeting its obligation to provide safe and reliable gas service.

Q. Under the current Gas Rate Plan, is there transparency that allows Staff and intervenors to regularly monitor the Company's gas capital expenditures and that requires the Company to explain variances from budgets?

A. Yes, under the current Gas Rate Plan, the Company is required to submit bi-annual reporting on its gas capital expenditures, including an explanation of any variances. These publicly filed reports provide all interested parties with the information they need to assess the Company's performance. The Company is proposing to continue this reporting going forward.

Q. In an environment where costs are increasing over time, does the Company agree that it is reasonable to apply a forecasting methodology based on an average of historic costs (typically five years)?

A. No, it is not reasonable. In an environment where costs are trending upward, applying an average of historic costs to

forecast future costs will more than likely result in funding levels that fall below actual costs.

Q. Staff and intervenors often couple proposals to base their forecasts on an average of historic costs with some kind of inflation factor. Wouldn't these inflation factors address the Company's concerns regarding rising costs?

A. These inflation factors may mitigate some expected cost increases, but they wouldn't likely eliminate them, particularly where cost increases are outpacing the level of inflation and the starting point is an artificially low base.

Q. Several intervenors testified that the Company's rate filing included an aggressive investment plan that did not consider the Company's ability to execute the plan. How do you respond?

A. This Panel presented the scope of work it believes is necessary to maintain safety, reliability, and to appropriately further the clean energy transition, the attendant workforce requests to execute it fully, and identified the reasons for proposed projects and programs in its direct testimony and/or exhibits.

Adjustments to Distribution System Improvements Programs

Gas Methane Capture Project

Q. Please describe Staff's adjustment to the Company's Gas Methane Capture Project.

A. SGRSP proposes (p. 18) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP claims the Company has underspent its budget for this program in the past and, based on the Company's response to DPS-884, Staff believes there are no plans to purchase any more gas methane capture units in the next few years. Staff also contends that its proposal is justified because the Company has yet to determine the manufacturer, model type, or number of units to be purchased in the future under this program.

Q. Does the Company agree with Staff's proposal to eliminate this program?

A. No, we do not. Staff's statement that no capital funds were spent on this program in 2023 or 2024 because the Company used the tools budget for purchase of new equipment is not accurate. As explained in the Company's response to DPS-24-

588 (Exhibit ___ (SGRSP-1), p. 852), purchases of new equipment are made via an internal accounting transfer to the tools procurement budget. To clarify the Company's response to DPS-41-884 (Exhibit ___ (SGRSP-1), p. 958), the funds were released from the Gas Methane Capture Project budget to the tools budget to purchase the nine machines. Additionally, the budget for this program not only accounts for possible tool purchase, but also for implementing active emission-reduction measures in our construction processes.

System Reinforcement Program – Winter Load Relief

Q. Please describe Staff's adjustment to the Company's System Reinforcement Program – Winter Load Relief.

A. SGRSP recommends (p. 22) a reduced budget for this program of $4.54 million in RY1, $4.65 million in RY2 and $4.76 million in RY3, compared to the Company's proposed budget of $8.49 million in RY1, $7.87 million in RY2 and $7.29 million in RY3.

Q. How does Staff seek to justify its proposed reductions?

A. SGRSP contends these reductions are justified based on historic underspending and the Company's use of other

program budgets to address areas in the system that required additional gas supply.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget forecast for this capital program is based on the Company's actual historical spending levels by taking a five-year average and applying an inflation factor.

Q. Does the Company agree with Staff's proposed adjustments?

A. No, we do not. The amount of work required for Winter Load Relief will increase over the next three years. During the demonstration of the Synergi Model to Staff, the Company explained that some of the past required Winter Load Relief work was performed taking advantage of economies of scale and was completed in conjunction with main replacement work. At that time, main replacement work was being performed using a geographical approach. This method is no longer being used by the Gas Infrastructure Replacement and Reduction program ("GIRRP") and, therefore, similar economies of scale will not likely come into play for future work. Additionally, our Synergi Computer Model of the gas system for Winter Load Relief is based on having

the outlets of the regulators for the low-pressure system set close to the upper maximum pressure of the regulators at Con Edison's design hour requirement of 0 deg F. Setting the regulators at this pressure forces the system to operate with only a small margin of excess capacity in the event a contingency. To mirror the best practices of similar utilities, the design models will now look to set the low-pressure regulator outlet pressures to a lower pressure than was used in previous years. We anticipate this change will identify additional work required for the Winter Load Relief Program.

Regulator Station Revamp Program

Q. Please describe Staff's adjustment to the Company's Regulator Station Revamp Program.

A. SGRSP recommends (p. 25) a reduced budget for this program of $1.34 million in RY1, $1.37 million in RY2 and $1.40 million in RY3, compared to the Company's proposed budget of $4.76 million in RY1, $3.76 million in RY2 and $3.88 million in RY3.

Q. What is the basis for Staff's proposed reductions for this program?

A. SGRSP claims these reductions are justified based on historic underspending due to project delays.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget forecast for this capital program is based on the Company's actual historical spending levels by taking a five-year average and applying the Staff inflation factor.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. Historic spending levels are not an accurate indicator of future spending for this program. As detailed in the Company's response to DPS-25-621 (Exhibit ___ (GIOP-5), the price of control equipment in the current design, which incorporates lessons learned from the Columbia Gas Merrimack Valley Overpressurization Incident, is four times the historical material price.

Q. Have there been any changes in the drivers since the Company developed the white paper for this program?

A. Yes. The white paper for this program emphasized capacity and capacity issues as the main drivers for this program, which was historically the case. Based on the white paper's description, Staff also points to a decline in gas growth

as a reason for decreasing funding. However, and as noted in the Company's response to DPS-621, the primary driver for more recent work performed under this program is now main replacement followed by material conditions, not capacity. Based on these recent trends, future spend projections include more regulator replacements to accommodate modern design features, while past spending was skewed more towards smaller scale work.

Adjustments to Transmission Projects

Queens Transmission Upgrade Project

Q. Please describe Staff's adjustment to the Company's Queens Transmission Upgrade Project.

A. SGRSP proposes (p. 36) that the Commission modify the in-service date for this project from 2028 to 2032 to better reflect when the transmission upgrade would be completed.

Q. What is the basis for Staff's proposed adjustment?

A. Staff claims that, in response to DPS-906, the Company forecasts main installation for the project until at least 2032.

Q. Does the Company agree with this adjustment?

A. In part. The Company notes that pipe sections will go into service as they are completed, with some installed before 2028 and others after. The Company agrees that in-service dates should be modified to reflect the dates each section is placed into service.

Remotely Operated Valves (ROVs) Program

Q. Please describe Staff's adjustment to the Company's ROV Program.

A. SGRSP proposes (p. 39) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP claims the Company has underspent its budget for this program in the past and ROVs can be funded through other capital programs.

Q. Does the Company agree with this adjustment?

A. No, we do not. As explained in the Company's response to DPS-21-545 (Exhibit ___ (SGRSP-1), p. 997), there are three valves on the existing pipe that need to be converted to ROVs. However, due to the valve locations, these valves will need to be cut out and offset to accommodate the ROV equipment. Once the ROV program is complete, the closure of any two consecutive ROVs will not negatively affect supply

mains or the distribution system on an average winter day (20°F); therefore, no customers will be impacted. Since these valves are on existing extra high-pressure mains that are not being replaced, they will not be funded as part of the MAOP reconfirmation projects.

Newtown Creek Metering Station Project

Q. Please describe Staff's adjustment to the Company's Newtown Creek Metering Station Project.

A. SGRSP proposes (p. 43) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP justifies its proposal based on historical underspending and concerns with the Company's prioritization, approach to budgeting, and planning for this project.

Q. Does the Company agree with this adjustment?

A. No, we do not. This facility was constructed in 1951, making the metering obsolete and maintenance labor intensive. In addition, per the National Fire Protection Association Publication 70 and the National Electric Code, the existing electrical equipment is not properly rated for the operating environment and requires replacement. As

explained in the Company's response to DPS-36-808 (Exhibit ___ (SGRSP-1), p. 1000), the historical underspending that Staff cites was due to a delay in this project resulting from unforeseen site access limitations. This, in turn, led to a significant change to the scope of work. However, the project delay allowed for exploration of alternate solutions and a design change that will ultimately provide cost and time savings to the MAOP Queens Transmission Upgrade project.

Cortlandt Gate Station Refurbishment Project

Q. Please describe Staff's adjustment to the Company's Cortlandt Gate Station Refurbishment Project.

A. SGRSP proposes (p. 48) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP contends the Company has underspent its budget for this program in the past. Staff also claims the project is unnecessary because the facilities appear in good condition based on a Staff site visit.

Q. Does the Company agree with this adjustment?

A. No, we do not. As explained in the Company's response to DPS-36-814 (Exhibit ___ (SGRSP-1), p. 1005), we have a Land

Use Agreement with the New York City Department of Environmental Protection to operate and maintain the station. We have been working to meet the necessary requirements to update this agreement, which has been time-consuming and involved several revisions to drawings. We finally received the Land Use Permits for this project on April 9, 2025. Historical spending is not indicative of the current need for the project, as the Company has several significant reliability and safety concerns related to the station's current condition. These concerns include an inability to quickly replace old equipment if it fails, equipment not meeting current standards for station classification, and the structural integrity of the building, including roofing issues, wall cracks, and water intrusion.

Q. Did the Company address any questions Staff raised during their site visit?

A. Yes, Staff asked questions about maintenance and the associated records during the visit. We explained the agreement between the Company and the pipeline with respect to the facility and noted that significant maintenance is

required to keep the station operational to its original design basis. For example, the existing equipment can no longer measure the gas flowing through the station during extreme winter demand because the equipment is at its maximum capacity. The station, in its current state, operates outside of its design basis on cold days and, therefore, requires refurbishment.

Adjustments to Pressure Control Projects

Pressure Control Regulator Automation Program

Q. Please describe Staff's adjustment to the Company's Pressure Control Regulator Automation Program.

A. SGRSP recommends (p. 54) a reduced budget for this program of $15.6 million in RY1, $16.0 million in RY2 and $16.4 million in RY3, compared to the Company's proposed budget of $19.6 million in RY1, $20.2 million in RY2 and $20.8 million in RY3.

Q. What is the basis for Staff's proposed reductions for this program?

A. SGRSP expressed concerns with the Company's past performance in overspending in this capital category as

well as the methodology used in developing the forecast budget. Staff also questioned some of the Company's justifications for this program.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget forecast for this capital program is based on the average number of upgrades completed between 2020 and 2024, which is 19, and used the average cost of $780,000 from the Company's response to DPS-917 (Exhibit ___ (SGRSP-1), p. 1009) and applied the Staff inflation factor.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. The Company has met numerous times with Staff's Office of Energy System Planning and Performance (Pipeline Safety) over the last five years to present technology we have developed in response to the Protecting Our Infrastructure of Pipelines and Enhancing Safety ("PIPES") Act. Although Staff notes that the PIPES Act has not yet been adopted, these design changes significantly enhance gas safety related to over pressurization of the distribution system. The yearly budget for this program is not solely based on completed units. The budget must also

consider various material and long-lead items that are purchased throughout the year to ensure continuation of the program. It also accounts for construction phases that are already work-in-progress and may span into subsequent years, as well as carry-over construction costs from one year to the next. Therefore, completed units do not provide a direct correlation to determine future budgets.

GR-450 A&B Relocation Project

Q. Please describe Staff's adjustment to the Company's GR-450 A&B Relocation Project.

A. SGRSP proposes (p. 59) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP expresses concerns with the Company's justifications for this project.

Q. Does the Company agree with this adjustment?

A. No, we do not. There are several safety risks that we need to address in this confined space regulator station, as a 12" water main is located within the footprint. The space constraints of the existing station prevent the proper use of a ladder (for entry and evacuation). If the water main were to break, employees in the station would be unable to

rescue themselves in time and water intrusion into the low-pressure gas system would cause significant customer outages. We are unable to retrofit this station due to its age, and this project is part of our overall program to protect against overpressure events.

Remote Telemetry Unit and Communications Upgrade - 1st Avenue Tunnel Project

Q. Please describe Staff's adjustment to the Company's Remote Telemetry Unit and Communications Upgrade - 1st Avenue Tunnel Project.

A. SGRSP proposes (p. 61) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP does not believe this project should be included in this gas rate proceeding due to its relation to the Company's steam system. Staff also claims there are no workpapers available for this project as it is still in the design phase.

Q. Does the Company agree with this adjustment?

A. No, we do not. Gas Operations oversees the technical work for the tunnels. Pressure Control is the department responsible for the maintenance and operation of the RTU

system, which communicates solely to the Gas Control Center. These responsibilities are independent of what commodity (Electric, Steam, or Gas) is served by the equipment in the tunnel. Although Gas Operations carries this work on its budget, the electric and steam organizations are allocated costs through internal accounting procedures made to the appropriate commodity and rate base. Regarding Staff's contention relating to workpapers, the Company notes that it issued a supplemental response to a Staff interrogatory (DPS-42-896-Supp1, included in Exhibit ___ (GIOP-5)), which includes a recent project proposal with the estimated equipment cost for this upgrade.

Adjustments to Technical Operations Projects - LNG

Nitrogen Refrigeration Cycle Replacement Project

Q. Please describe Staff's adjustment to the Company's Nitrogen Refrigeration Cycle Replacement Project.

A. SGRSP proposes (p. 66) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP believes that, while the LNG facility may not be operating at its original design specifications, it is still capable of safe and reliable operations despite limitations to the injection flowrate.

Q. Does the Company agree with this adjustment?

A. No, we do not. Just because the Company has been able to safely and reliably operate the LNG facility in the past does not mean that it will be able to continue doing so under current conditions. The Company has been maintaining safe and reliable operations at LNG facility because we have been able to obtain third-party replacement parts, which is becoming increasingly difficult, as parts are no longer being manufactured. At some point in the future, the Company will no longer be able to obtain these replacement parts, which would prevent operations of the LNG facility. The Company has received air permits from the New York State Department of Environmental Conservation approving the work under this replacement project.

Q. What impact do limitations to the injection flowrate have on the Company's ability to reliably operate the LNG facility?

A. The deviation from the original design basis limits the usage of the LNG tank during winter emergencies. By restoring the liquefaction process to its original design, we can fully utilize the capacity of the LNG tank. The new liquefaction system enhances our ability to fill the tank more rapidly during the summer months, which is crucial in the event of consecutive extreme weather occurrences, such as Winter Storm Elliott in 2022. The Federal Energy Regulatory Commission and the North American Electric Reliability Corporation issued a report in October 2023, specifically citing the importance of using the Company's LNG facility in their inquiry into Winter Storm Elliott. For a copy of the report, please visit: https://www.ferc.gov/media/winter-storm-elliott-report-inquiry-bulk-power-system-operations-during-december-2022

Q. What is the current status of this project?

A. The bidding process has concluded for these projects, procurement negotiations have commenced, and we will have a contractor working by Q4 of this year. The equipment has already been purchased and is in storage, awaiting installation. This equipment is customized for the plant

and cannot be returned or sold back to the vendor. Delays in installation, as proposed by Staff, would incur storage costs and may result in scheduling delays with multiple vendors, including external engineering, based on their availability.

Electrical Distribution System Upgrade Project

Q. Please describe Staff's adjustment to the Company's Electrical Distribution System Upgrade Project.

A. SGRSP proposes (p. 73) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP claims that it received conflicting information from the Company regarding the safety risk associated with not doing this project. Additionally, this project is interdependent with other eliminated projects in this category.

Q. Does the Company agree with this adjustment?

A. No, we do not. There is a safety concern that the existing gas transmission main supplying the LNG Plant is near the electrical high tension vault substation. In its current design, this poses risks to operators, such as fatal burns

or electrocution, that will be eliminated with the replacement of the system.

LNG Plant Controls Instrumentation Upgrade Program

Q. Please describe Staff's adjustment to the Company's LNG Plant Controls Instrumentation Upgrade Program.

A. SGRSP proposes (p. 74) to eliminate this program.

Q. How does Staff justify its proposal?

A. SGRSP claims this program has experienced historical underspending. Additionally, this program is interdependent with other eliminated projects in this category.

Q. Does the Company agree with this adjustment?

A. No, we do not. This project will integrate the existing as well as the proposed new liquefaction and electrical process area equipment into one system. The project, while dependent on the new liquefaction and electrical process area, will integrate all the existing islanded equipment, which are on different systems, into one common interface. Currently, the Operator must be in multiple locations within the Control Center to operate the various systems.

Due to changes in the scope of the Nitrogen Refrigeration Cycle Project and the Electrical Distribution System, this project has also been delayed, as it is dependent on these other two projects. The initial scope for the Nitrogen Refrigeration Cycle and Electrical Distribution System projects was to replace existing systems with similar ones. However, it was not feasible to maintain continuous operations of the plant under this plan. Consequently, another location within the LNG Plant had to be identified to rebuild the new liquefaction and electrical process areas.

Q. What is the current status of this project?

A. The engineering design has been completed by an external vendor, and the internal engineering review is in progress. With the design nearing completion and comprehensive scopes of work and project schedules prepared for the two dependent projects, the Company is developing a detailed schedule for this project.

This project is planned to commence towards the end of the Electrical Distribution System Upgrade Project and Nitrogen

Refrigeration Cycle Replacement, which are scheduled to last approximately 16 months.

LNG Ground Combustor Replacement Project

Q. Please describe Staff's adjustment to the Company's LNG Ground Combustor Replacement Project.

A. SGRSP proposes (p. 78) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP contends the Company provides insufficient evidence to support this project.

Q. Does the Company agree with this adjustment?

A. No, we do not. In plant operations, safety valves serve as a final safeguard against over pressurization of tanks. While essential for emergency situations, relying solely on this mechanism for continuous pressure control is not a recommended practice, as it provides no secondary protection against over pressurization if the safety valves were to fail.

Q. Did the Company consider any alternatives to the ground combustor replacement project?

A. Yes, the Company considered relocating the valve and installing a ROV. These alternatives were both rejected.

The location of the V-35 valve cannot be moved without extensive engineering and costs. Converting the valve into a remotely operated valve, while theoretically possible, would mean that we will be flaring gas for an extended period, which would result in a public and environmental concern.

Q. Are there any other adverse impacts associated with delaying this project?

A. Yes. The ground combustor is manufactured at time of order, since it is not an off-the-shelf product. It will be a minimum of 34 weeks to deliver it to the site and then we will have to factor in an outage of the plant before we can install the device. Any delays in this project would result in an extended flare period.

LNG Compressor Station Fire Detection Upgrade

Q. Please describe Staff's adjustment to the Company's LNG Compressor Station Fire Detection Upgrade.

A. SGRSP recommends (p. 83) a reduced budget for this project of $0 in RY2 and $2.0 million in RY3, compared to the Company's proposed budget of $2.0 million in RY2 and $6.0 million in RY3.

Q. What is the basis for Staff's proposed reductions for this project?

A. SGRSP claims that this project is not a priority for the Company considering that the expected in-service date is outside the rate years. According to Staff, this brings into question the urgency of this proposed capital project and justifies the one-year delay in commencing this work.

Q. Does the Company agree with this proposed adjustment?

A. No. Work will begin within the rate period, and we expect to need the full dollar amount, though the Company acknowledges that work will begin in RY1.

Adjustments to Technical Operations Projects - Tunnels Projects

Concrete Restoration Program

Q. Please describe Staff's adjustment to the Company's Concrete Restoration Program.

A. SGRSP proposes (p. 90) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP contends the Company provides insufficient evidence to support this project.

Q. Does the Company agree with this adjustment?

A. No, we do not. A third-party assessment conducted by an engineering consultant (KSE) confirmed the necessity for concrete restoration. This assessment was included as an attachment to the Company's response to DPS-36-818 (Exhibit ___ (SGRSP-1), p. 1119). This engineering assessment highlighted the need for priority restoration of concrete spalling in the Astoria Tunnel. Field conditions indicate that concrete spalling is a significant issue due to the tunnel's depth of 260 feet, combined with pressure, water intrusion, and gravity. Concrete spalling compromises the safety of tunnel entrants. Furthermore, the concrete has not been comprehensively addressed since the tunnel's construction in 1915. The Company acknowledges the delays in commencing this work due to other prioritized projects. However, the scope of work has now been completed, and a design package will be issued by year's end to facilitate the commencement of construction next year.

Astoria Elevator Modernization

Q. Please describe Staff's adjustment to the Company's Astoria Elevator Modernization project.

A. SGRSP proposes (p. 94) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP claims that an engineering analysis has yet to be completed for this project and the Company failed to provide an explanation of how the specific project budget was developed.

Q. Does the Company agree with this adjustment?

A. No, we do not. The Astoria Tunnel is approximately 260 feet deep and almost a mile long. This tunnel, being our deepest and longest, lacks a quick method of egress for emergencies. Two elevators are required for this tunnel; however, neither elevator is operational. Additionally, mandatory inspections and maintenance need to be completed effectively, which is not feasible without a functional elevator to transport equipment and materials.

Q. What is the current status of this project?

A. The initial plan involved replacing the elevator in a like-for-like manner. However, upon further inspection, we identified that the two 72-inch cast iron structural mains supporting the elevator are severely deteriorated and need replacement with new structural supports. The design for

the secondary elevator is already complete. The design for the main elevator will be finalized by the second quarter of 2026. The design package for the entire project, including the installation of new ladders and landings and the removal of the 72-inch cast iron mains, will be completed by the end of 2026.

Carbon Fiber Wrap Program

Q. Please describe Staff's adjustment to the Company's Carbon Fiber Wrap Program.

A. SGRSP proposes (p. 99) to eliminate this project.

Q. What is the basis for Staff's proposal?

A. SGRSP claims that this program, as the proposed capital work is described, relates to electric feeders and is outside the scope of a gas rate proceeding.

Q. Does the Company agree with this adjustment?

A. No, we do not. As discussed above in relation to the Remote Telemetry Unit and Communications Upgrade - 1st Avenue Tunnel Project, Gas Operations provides the technical expertise for all tunnel-related projects and the work is completed by Gas Technical Operations personnel. Therefore, this project should be funded in the gas rate proceeding.

As stated previously, although Gas Operations carries this work on its budget, the electric and steam organizations are allocated costs through internal accounting procedures made to the appropriate commodity and rate base.

Adjustments to Technical Operations Projects - Meter Programs

Meter Purchases

Q. Please describe Staff's adjustment to the Company's Meter Purchases Program.

A. SGRSP recommends (p. 116) a reduced budget for this program of $12.2 million in RY1, $12.2 million in RY2 and $12.2 million in RY3, compared to the Company's proposed budget of $12.8 million in RY1, $12.8 million in RY2 and $12.8 million in RY3.

Q. What is the basis for Staff's proposed reductions for this program?

A. SGRSP claims that the Company's projected meter purchases are significantly higher than the previous year program replacement meter purchases.

Q. How did Staff develop its proposed budget for this program?

A. Staff proposes a lower level of meter purchases determined by taking the five-year historical average number of meter purchases from 2020 through 2024.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. The Company will need to continue installing and replacing meters. The Company's forecast for meter purchases is based on the forecasted number of meter installations. Forecasted installations, in turn, are based on age of existing, installed metering inventory, and additional load necessitating larger or new meters, as shown in the Company's calculation provided in response to DPS-378-SUPP 1 (Exhibit ___ (GIOP-5). The Company's calculation demonstrates that using historical averages, as Staff proposes, is not a good indicator of future need.

Meter Installations

Q. Please describe Staff's adjustment to the Company's Meter Installations Program.

A. SGRSP recommends (p. 118) a reduced budget for this program of $14.3 million in RY1, $14.7 million in RY2 and $15.0 million in RY3, compared to the Company's proposed budget

of $22.2 million in RY1, $22.2 million in RY2 and $22.2 million in RY3.

Q. What is the basis for Staff's proposed reductions for this program?

A. Similar to its justification for reducing the Meter Purchases budget, Staff is concerned with the number of meter installations the Company is proposing for program replacements. Staff is also concerned with the Company's forecasted cost per installation, which it claims is significantly higher than the 2021 per unit installation cost.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget is based on a five-year historical average of the Company's inflation adjusted installation costs from 2018 through 2022.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. Staff claims that it does not believe the high installation costs seen from 2023 through 2024 will continue and instead chose to use the 2021 cost of $527 as a basis. As we described in the Company's response to DPS-42-892 (Exhibit ___ (GIOP-5), the meters installed have

been trending towards more complex installations of larger meters, which require additional technicians and higher labor hours as a result of access issues. The Company anticipates these issues will continue to impact the average meter installation cost from 2026 through 2028.

Q. Does Staff offer any additional reasons to justify its proposed adjustment?

A. Yes, Staff contends the increase in installation costs are mostly associated with the AMI Deployment project and will no longer affect costs from 2026 through 2028 since the project has ended.

Q. Is there any basis for this contention?

A. No. Staff ignores the Company's responses to DPS-30-732 (Exhibit ___ (SGRSP-1), p. 1757) and DPS-42-892 (Exhibit ___ (GIOP-5)), which explained increased costs were also caused by ongoing efforts to address remaining meters in the AIP Category-O remediation program, continuing to replace legacy meters, and overcoming challenges with accessing meters within customer premises, which require multiple visits/attempts.

Adjustments to Technical Operations Projects – General

Q. Does any party offer general adjustments to the Company's Technical Operations Projects?

A. Yes, NYC Witness Sano recommends (p. 31) a reduced budget for this program of $41.8 million in RY1, $32.4 million in RY2 and $32.0 million in RY3, compared to the Company's proposed budget of $86.9 million in RY1, $63.3 million in RY2 and $60.3 million in RY3.

Q. What is the basis for NYC's proposed reductions for this category of programs?

A. NYC's reductions are based on a five-year average of historic (2020-2024) spending levels plus inflation. NYC Witness Sano then reduced the meter purchases and installations for new connections based on NYC's new customer connection adjustments.

Q. Does the Company agree with NYC's proposed adjustment to this category of programs?

A. No, we do not. As discussed in our response to Staff's cuts to the same program, averages of historic spending levels are not appropriate indicators of future spend in an environment where costs are trending higher due to the

challenges with access and with increased complexity of the installation. We address NYC Witness Sano's proposed adjustments to the Customer Connections program separately.

Adjustments to Customer Connections Program

Q. Please describe Staff's adjustment to the Company's Customer Connections Program.

A. SGRSP recommends (p. 102) a reduced budget for this program of $58.8 million in RY1, $47.0 million in RY2 and $34.7 million in RY3, compared to the Company's proposed budget of $72.0 million in RY1, $63.0 million in RY2 and $58.0 million in RY3.

Q. What is the basis for Staff's proposed reductions for this program?

A. SGRSP claims the Company has not adequately considered the effect recent NYS (All-Electric Buildings Law) and NYC (LL154) laws may have on the number of customer connections for new buildings in the rate years.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget forecast for this capital program is based on five-year historical average costs and assumed

that no buildings subject to the recent laws would be connected once the applicable laws go into effect.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. As set forth in the Company's response to DPS-8-332 (Exhibit ___ (SGRSP-1), p. 1709), the Company's 2022-2024 budgets for this program were $70.6 million, $66.1 million and $60.2 million, respectively. This compares to actual 2022-2024 expenditures of $78.9 million, $67.7 million and $87.6 million, respectively. As a consequence of higher actual expenditures compared to budgets, the Company had to move funding from other parts of the capital portfolio to cover the shortfall between budget and actual expenditures for the Customer Connections Program. Moreover, the Company had already considered and incorporated the impacts of these laws in our forecast. Staff's analysis, on the other hand, fails to acknowledge that there are delays between the issuance of a building permit and connection of the building to the gas system (which may result in customer connections months or years after the enactment of legislation), that there are a significant number of exceptions to the City and State

laws, that the obligation to serve remains in place, and that buildings, particularly in New York City with zoning changes, may elect simply to add an additional floor or commercial cooking spaces in order to connect.

Q. Did any other party offer adjustments to the Customer Connections Program?

A. Yes, NYC Witness Sano proposes (pp. 26-27) the total elimination of this program.

Q. What is the basis for NYC's proposal?

A. NYC recognizes the Company's obligation to serve customers but nevertheless claims that the Company's Customer Connections budget is not acceptable in light of the CLCPA and other restrictions and prohibitions on certain gas connections in New York City under LL 97 and LL 154.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. NYC's adjustments should be rejected for the same reasons offered in response to Staff's adjustments to the Customer Connections program. The Company has already considered the impacts of the laws in its forecast. Furthermore, NYC's adjustments fail to consider zoning changes as part of the "City of Yes," the ability of

existing customers to add load (converting buildings from other fossil fuels as an example), and the list of exemptions in place.

Adjustments to Advanced Metering Infrastructure Enabled Natural Gas Detector Program

Q. Please describe Staff's adjustment to the Company's Advanced Metering Infrastructure Enabled Natural Gas Detectors Program.

A. SGRSP recommends (p. 107) a reduced budget for this program of $22.2 million in RY1, $21.0 million in RY2 and $19.5 million in RY3, compared to the Company's proposed budget of $34.2 million in RY1, $31.5 million in RY2 and $29.7 million in RY3.

Q. What is the basis for Staff's proposed reductions for this program?

A. SGRSP contends that the Company's forecasted unit installation costs are significantly higher than historical unit installation costs.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget forecast for this capital program is based on an inflation adjusted average unit installation cost from 2020 through 2024. For rate years 2023 and 2024, Staff used the average installation cost using only contract resources in the historical average.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. Staff's proposal to only use contracted resources for this program conflicts with our Collective Bargaining Agreement with Local 1-2 from 2024. Additionally, the Company is requesting that detectors be made mandatory for obtaining or continuing use of natural gas. This will mean funding devices that are not yet installed, and replacing devices where customers have not yet provided access to replace devices installed prior to 2020. Finally, network extenders will need to be installed in some locations to address communication limitations, as well as replacing devices that alarm (those devices are replaced instead of refurbished to maintain battery/sensor life).

Q. Did any other party offer adjustments to the Advanced Metering Infrastructure Enabled Natural Gas Detector Program?

A. Yes, NYC Witness Sano proposes (p. 24) a reduced budget for this program of $27.1 million in RY1, $27.9 million in RY2 and $28.7 million in RY3.

Q. What is the basis for NYC's proposed reductions?

A. NYC's adjustment is based on a five-year (2020-2024) average of costs for this program with an inflation factor applied to each rate year.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. Historical program costs rely on contracted resources, which were used in the early days of deployment. These costs do not reflect more recent costs as well as future costs under the Collective Bargaining Agreement. Furthermore, the Company believes that from a safety perspective, devices should be a requirement to obtain connection to or continue use of the gas system.

Adjustments to Alternate Gas Emergency Response Center Project

Q. Please describe Staff's adjustment to the Company's Alternate Gas Emergency Response Center ("GERC") Project.

A. SGRSP recommends (p. 122) a reduced budget for this program of $4.5 million in RY1 and $4.7 million in RY2, compared to the Company's proposed budget of $8.5 million in RY1 and $4.5 million in RY2.

Q. What is the basis for Staff's proposed reductions for this program?

A. Staff claims that the capital costs for comparable projects to the Alternate GERC were considerably less than the Company's proposed budget.

Q. How did Staff develop its proposed budget for this program?

A. Staff's proposed budget is based on the capital budgets of comparable projects, adjusted for inflation.

Q. Does the Company agree with this proposed adjustment?

A. No, we do not. The comparable projects Staff refers to were made to existing Company space that was able to be configured with minimal disruption. This is not the case with respect to the alternate facility.

Q. Do any other parties offer proposed adjustments to the Alternate GERC Project?

A. Yes, NYC Witness Sano recommends (pp. 35-36) that the Commission reject all costs associated with the Alternate GERC Project and direct Con Edison to conduct a comprehensive study of this project that would include issues related to access during emergencies of a new GERC located within New York City compared to Westchester County.

Q. Does the Company agree with this recommendation?

A. No, we do not. The locations of the primary and alternate GERC have no bearing on emergency response or on economic impacts to New York City. The responding crews will continue to be located within each county (New York, Bronx, and Queens) as will the Incident Commander for an event. New York City agencies, first responders, elected officials and the media will see no impact from the relocation.

Capital Reporting

Q. What are Staff's proposals related to capital reporting?

A. Staff offers three proposals related to capital reporting: (1) additional reporting for MAOP projects; (2) more frequent capital expenditure reporting; and (3) an annual report providing a five-year, forecasted capital plan.

Q. Please describe Staff's proposal relating to reporting on MAOP projects.

A. SGRSP (pp. 32-35) expresses concern with the Company's budget forecasting, forecast of main installation per year, and reporting of information related to the Company's MAOP projects. Consequently, SGRSP recommends (p. 35) the Commission direct the Company to provide, in its regular capital expenditure filing updates, a progress report for each of its MAOP projects.

Q. Does the Company agree with Staff's recommendation?

A. No, we do not. MAOP work schedules and progress are dependent on weather, permits, and construction and repaving moratoria. Additional reporting on MAOP work will have no impact on any of these issues.

Q. Please describe Staff's proposal relating to the frequency of capital reporting.

A. SGRSP proposes (p. 125) to increase the frequency of capital expenditure reporting from the current cadence of twice per year to quarterly.

Q. Does Staff offer any reasons or rationale for proposing this change?

A. No, they do not.

Q. Does the Company agree with this proposal?

A. No, we do not. Gas Operations' work is heavily dependent on weather and subject to various street closures and construction/restoration moratoria. Quarterly updates would not provide an accurate projection of spend or project progress. The current bi-annual cadence of reporting provides transparency that better reflects spending and progress on projects.

Q. Please describe Staff's proposal regarding a five-year capital plan.

A. SGRSP recommends (p. 126) that the Commission direct the Company to file on April 1 of each year a report detailing its forecasted five-year capital plan.

Q. Does the Company agree with this proposal?

A. No, we do not. April 1 does not coincide with the Company's budget cycle. Furthermore, planning for periods outside of the rate case, is addressed in separate long-term planning proceedings (*e.g.*, Cases 20-G-0131 & 23-G-0147).

Gas Service Line Inspections

Q. Please describe Staff's recommendations related to the Company's gas service line inspection program.

A. SCSP recommends (pp. 44-45) that the Commission direct the Company to develop a self-service option for customers to schedule a gas service line inspection appointment, in addition to the Company's current scheduling offerings, which should be clearly described on customer notifications seeking to schedule an inspection.

Q. What justification does Staff offer for this recommendation?

A. SCSP claims that Department Call Center Staff have received multiple inquiries concerning the Company's mandated gas service line inspection program. Particularly, the customer's ability to successfully contact the Company or

its vendor to schedule an appointment for the customer to allow access to complete the inspection work.

Q. Does the Company agree with this recommendation?

A. In part. The Company intends to offer a limited self-service option again by the end of 2025.

Gas Safety Performance Measures

Leak Management

Q. Please describe the recommendations related to the Leak Management performance measure.

A. SGSP recommends (p. 28) reducing the total leak management targets and associated NRAs as follows: five BPs for a backlog between 116 and 125 leaks; ten BPs for a backlog between 126 and 135 leaks; and 15 BPs for a backlog greater than or equal to 136 leaks. SGSP also proposes (p. 30) to eliminate PRAs for Con Edison's leak management efforts. Similarly, NYC Witness Sano recommends (p. 38) reducing the total leak management targets and associated NRAs as follows: five BPs for a backlog between 135 and 144 leaks; ten BPs for a backlog between 145 and 154 leaks; and 15 BPs for a backlog greater than or equal to 150 leaks. Because

these targets appear to overlap, the Company posed an information request to NYC to clarify the City's proposal but the Company had not received a response by the filing of this rebuttal testimony. NYC also proposes (p. 37) to eliminate PRAs for Con Edison's leak management efforts.

Q. How did Staff and NYC determine their proposed new leak management targets?

A. Staff calculated an average (2020-2024) 19-percent yearly reduction to Con Edison's total leak backlog. Staff then applied this 19-percent average yearly reduction to the 2025 total leak management targets.

NYC contends their revised targets continue the trend established by the Commission in the Company's last rate plan.

Q. Does Staff offer any other justifications for these proposed changes?

A. Staff claims that with more LPP being reduced or replaced year over year, fewer incoming leaks needing repair, and Con Edison maintaining its current level of resources, this target should be achievable.

Q. Does the Company agree with the Staff and NYC proposals to reduce the total leak management targets?

A. No, we do not. The Company has an effective leak management program, but the more challenging goals proposed have the potential to elevate cost over efficiency and risk mitigation in order to avoid penalties.

Q. What are the bases offered for the Staff and NYC recommendations to eliminate PRAs for Con Edison's leak management efforts?

A. SGSP contends that given Con Edison's long-term plan, and the Commission's goal of the complete elimination of all LPP, Con Edison should not require additional incentives, through PRAs, to reduce its total leak backlog. Staff also claims that over the past several rate cases, Con Edison has added resources to repair more leaks. With these resources in place, fewer incoming leaks each year, and the continuation of the LPP reduction or replacement program, Staff argues that Con Edison should be able to maintain a similar or improved performance in the coming years, without a PRA.

NYC contends that reducing the number of active leaks is a critical part of maintaining safe and reliable service. Costs associated with reducing the leak backlog of the Company and ensuring fast response times are recovered from customers. As such, shareholders bear no additional risk for such work and should not have an opportunity to earn an incentive.

Q. Does the Company agree with the Staff and NYC proposals to eliminate PRAs for leak management efforts?

A. No, we do not. The purpose of PRAs is to incentivize companies to deliver superior performance and that is exactly what they have done. As discussed above, the Company has developed an effective leak management program. PRAs earned under this program have compensated the Company for the expenses incurred in repairing additional leaks on the system to meet the stricter PRA target.

Moreover, the Company disagrees that the shareholders bear no additional risk for this work. If the Company does not properly manage funding and resources to achieve more stringent PRA targets, the result will be an adverse impact on the Company's bottom line.

Emergency Response

Q. Please describe the recommendations related to the Emergency Response performance measure.

A. Both SGSP (p. 53) and NYC Witness Sano (p. 39) recommend eliminating PRAs associated with the emergency response time measures.

Q. What are the bases for the Staff and NYC recommendation to eliminate PRAs for Con Edison's emergency response efforts?

A. SGSP claims that Con Edison has consistently exceeded its 30-minute emergency response target from 2020 through 2024 and has received PRAs for each calendar year during this time period. According to Staff, the PRAs available in past rate cases have incentivized the Company to implement programmatic changes and redistribute the resources necessary to optimize and minimize their emergency response times. With these enhancements in place, Staff contends there is no longer justification or need for a PRA incentive to improve Con Edison's emergency response time performance.

NYC claims there is no need to reward Con Edison's shareholders for simply maintaining its prior level of performance.

Q. Does the Company agree with the Staff and NYC proposals to eliminate PRAs for emergency response efforts?

A. No, we do not. New York City has implemented local law 157 that will have a direct material impact on the deployment of our emergency response resources. However, since we have not experienced a winter season under this new law, the total impact it will have on our emergency response times is still unknown. Additionally, NYC DOT is expanding its Vision Zero initiatives to improve street safety. Previous Vision Zero strategies have included reducing citywide speed limits and decreasing vehicle lanes to expand bus and bicycle lanes. This year, NYC DOT is introducing "Regional Slow Zones" that further reduce speed limits in targeted areas. The Company acknowledges that while speed zones are important for roadway safety, they will lead to increased travel times in the affected areas, potentially impacting response times.

The Company believes that in light of local law 157 and Vision Zero strategies it is unreasonable to eliminate PRAs.

Compliance with Pipeline Safety Regulations

Q. Please describe the first proposal related to compliance with pipeline safety regulations.

A. Both SGSP (p. 60) and NYC Witness Sano (p. 40) recommend rejection of the Company's proposal to eliminate NRAs for violations of work procedures where the work procedures go above and beyond the statutory requirements.

Q. What are the bases for the Staff and NYC proposals?

A. SGSP contends that while the pipeline safety regulations have specific minimum requirements that the operator is required to meet, the regulations also require the operator to have work procedures that detail how the operator will meet those requirements. According to Staff, an operator could meet the specific requirement in the regulation but fail to perform the task correctly by not following its procedure.

NYC notes that it is laudable the Company establishes its procedures above that which are required. According to NYC,

it is a contradiction to then assert that the Company does not need to live up to those standards.

Q. Does the Company agree with the Staff and NYC proposals?

A. No, we do not. The Company should not receive a negative revenue adjustment if it meets a regulatory requirement but deviates from a procedure in doing so.

Furthermore, all procedure violations are listed in the SGSP proposal (and prior joint proposals) as "high" risk. The incongruous result of citing the Company for a procedure that exceeds the regulatory requirement is that the Company is assessed a "high-risk" NRA for actions that did not violate any pipeline safety regulation. It is not sound regulatory policy to count a best practice work procedure that goes above and beyond code as a violation at all. However, if any NRAs are to be applied, they should be under the "other risk" category.

Q. Please describe the next proposal related to compliance with pipeline safety regulations.

A. Both Staff (pp. 60-61) and NYC (p. 41) recommend rejection of the Company's proposals to eliminate NRAs for violations that were previously identified and rectified by Con

Edison, or for violations that were previously self-reported and not subject to reporting requirements.

Q. What are the bases for the Staff and NYC proposals?

A. SGSP claims that it reviews and considers each violation for enforcement on a case-by-case basis. Identified violations that did not occur within the respective calendar year, violations to which NRAs have already been applied under another regulation, and violations for which sufficient arguments have been raised that question the appropriateness of the application of an NRA may be excluded from consideration under the review process. NYC Witness Sano claims that if the Company is in violation, self-reporting is irrelevant from a performance measure basis.

Q. Does the Company agree with the Staff and NYC proposals?

A. No, we do not. These expectations should be clearly established and set forth as provisions of the rate plan and not considered on a case-by-case basis, because this has and will continue to lead to inconsistent application of NRAs, from year-to-year within Con Edison and within NY as a whole, which is not good policy.

As stated in the Company's proposal, blanket exclusions should be given for: violations that were previously identified and since rectified before the next violation is identified, and violations that were previously self-reported and not subject to reporting requirements.

Related to violations that were previously identified internally and rectified prior to the next audit: It is not reasonable for the rate plan to establish a disincentive for a violation that has already been rectified by the Company. This is contrary to the Company's Pipeline Safety Management System principles, as well as governmental policies regarding compliance, which are intended to encourage the identification, disclosure and correction of errors. Simple timing of the next audit allows for the identification of the already known and corrected error; therefore, application of the NRA provides absolutely no safety value and this exclusion should therefore be approved.

Related to violations that were self-reported and not subject to reporting requirements: these items are outside the scope of any records or field audit, and therefore not

appropriate to include for the purposes of this metric or an NRA. Additionally, other regulatory bodies have recognized that penalizing companies for self-reporting is inconsistent with sound regulatory policy.

Q. Please describe Staff's final proposal related to compliance with pipeline safety regulations.

A. SGSP proposes (p. 61-62 and Appendix 19) eliminating deadbands, violation caps and remediation plans in place under the current rate plan.

Q. What is the basis for Staff's proposal?

A. SGSP claims that, given the maturity of this performance measures, and Con Edison being compensated at just and reasonable rates for satisfying its obligation to comply with the minimum pipeline safety requirements, the removal and modification of these mechanisms will more accurately reflect the extent of Con Edison's compliance efforts.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. First, in comparison to other performance metrics, we do not agree with Staff's assertion that this performance measure is mature. Since the application of NRAs towards this performance metric, the rate plan

language around this metric has changed during each negotiation, reflecting Staff and the Company's continued evolution in this category. Additionally, application of this performance measure from year-to-year and operator-to-operator remains inconsistent; therefore, the proposed deadbands, violation caps, and remediation plans set forth in the current rate plan's Joint Proposal Attachment 1 provide necessary guardrails to assist in Staff and the Company's understanding of the NRA application of this particular performance metric.

Since the development of the current performance metric language, deadbands, violation caps, and remediation plans have been consistently included in other NY operator's rate plans - up to and including rate plans that have been issued recently.

Q. Have there been any recent, significant developments related to the Company's service line inspection program and the Compliance with Pipeline Safety Regulations performance metric?

A. Yes, on April 30, 2025, the Company received its Negative Revenue Adjustment ("NRA") Letter for 2023 Gas Safety

Violations in Case 22-G-0065. In this letter, Staff applies NRAs to instances where customers have denied the Company access to perform required inspections, despite the Company's best efforts.

Q. Does the Company have any proposals related to how this performance measure is applied to service line inspection requirements?

A. Yes, the Company proposes that: 1.) SLI violations be exempt from NRA application, if the Company can demonstrate it is in compliance with its internal processes and procedures; and 2.) Customer complaints related to service line inspection fines or service terminations be exempt from the Company's customer complaint rate metrics.

Gas Planning

Q. Please describe NYC's assertions related to gas planning.

A. While recognizing that the Company has taken some important steps to facilitate the gas transition, the NYC Policy Panel characterizes (p. 29) the gas investments proposed by the Panel in this case as "business-as-usual." NYC urges the Company "to put more effort into realizing a future

that likely has a much smaller gas footprint, and it needs to look more closely at system needs in order to reduce its capital spending over time to cease the expansion and increase the reduction of its gas distribution system." (p. 30)

Q. Does NYC offer any specific proposals?

A. The NYC Policy Panel proposes (p. 30) that the Company reassess its leak prone pipe replacement/reduction strategy and place a greater emphasis on non-pipeline alternatives.

Q. Do any other intervenors address the Company's gas planning?

A. Yes, NRDC Witness Napoleon also characterizes (p. 19) the Company's gas proposals in this filing as a "business-as-usual" approach to planning.

Q. Does the Company agree with NYC's and NRDC's characterizations of the Company's approach to gas planning?

A. No, we do not. The Company has a team dedicated to strategic planning, has filed all documents/updates required in case 20-G-0131, and considers new laws and

regulations, customer needs, and risk mitigation in its plans as it maintains a safe and reliable system.

Q. Does the Company agree that there is a need to reassess its leak prone pipe replacement/reduction strategy?

A. No, we do not. Our Gas Infrastructure Replacement or Reduction Program continues to evolve while remaining a robust emissions reduction and safety program.

Q. Does the Company agree that it has not placed sufficient emphasis on NPAs as an alternative to traditional gas infrastructure?

A. No, we do not. The Company actively seeks to expand the use and implementation of NPAs as an important tool to help achieve statewide clean energy goals. Please see the direct and rebuttal testimonies of the Company's Clean Energy Solutions Panel and Clean Energy Transition Panel for more detailed discussion of the Company's efforts related to NPAs.

Alternatives to Leak Prone Pipe Replacement

Q. Please describe any specific proposals made regarding alternatives to leak prone pipe replacement.

A. NRDC Witness Napoleon recommends (p. 51) that the Company expand its consideration of joint sealing and pipe lining to more projects. NRDC also proposes (p. 52) that Con Edison conduct an analysis investigating the effectiveness of cured-in-place liners on improving the safety of leak-prone pipes.

Q. Does NRDC offer any rationale for its proposals?

A. According to NRDC, pipe lining has proven to be an effective way of reducing methane emissions and, thus, improving safety. NRDC believes pipe lining and joint sealing would eliminate the near-term need to replace a pipe.

Q. Does the Company agree with NRDC's proposals?

A. We agree in part. The Company agrees that pipe lining has proven to be an effective way of reducing methane emissions and enhancing safety. The Company already uses these technologies where it is possible to do so, but these technologies cannot be used exclusively to avoid main replacement.

One Hundred Foot Rule/Obligation to Serve

Q. Please describe any direct testimony received addressing the "100-foot rule" and the Company's statutory and regulatory obligations to provide gas service.

A. MOA Levenberg's direct testimony noted (p. 8) that she co-sponsored legislation that would eliminate the 100-foot rule and obligation to serve. Should that legislation pass and become law, MOA Levenberg proposes that any cost savings be passed back to customers.

Similarly, MOA Shimsky raises concerns (pp. 6-7) regarding the cost impacts on customers of the 100-foot rule and obligation to serve. MOA Shimsky is also a co-sponsor of the legislation noted above.

Q. Is the Company aware that proposed legislation eliminating the 100-foot rule but preserving the obligation to serve has passed the New York State Senate and Assembly?

A. Yes.

Q. Has the Company changed any of its proposals in response to this development?

A. No. Although the proposed legislation has passed both chambers in the New York State legislature, it still requires the governor's signature to become law.

Q. Does the Company agree that cost savings realized because of the elimination of the 100-foot rule and obligation to serve should be passed back to customers?

A. The Company's proposed rate plan would continue a downward-only reconciliation mechanism for unspent capital. Therefore, the Company believes MOA Levenberg's and MOA Shimsky's concerns are addressed by the Company's proposed rate plan.

Renewable Natural Gas Interconnection

Q. Please describe Staff or intervenor proposals related to the recovery of renewable natural gas interconnection costs.

A. SGRSP recommends (pp. 145-146) that the Commission not allow the Company to recover RNG interconnection costs from ratepayers through the MRA and that all interconnection costs be paid directly from developers and producers.

Similarly, NRDC Witness Napoleon recommends (p. 68) that the entity requesting interconnection for RNG to the gas system should be responsible for the full cost of interconnection.

Q. Does the Company agree with these recommendations?

A. No, we do not. Requiring developers to pay the cost of interconnecting RNG sources to Con Edison's distribution system is inconsistent with the approach used for geological sources of natural gas. The cost of interconnecting with interstate pipelines that deliver geological sources of natural gas to the Company's system are included in rate base. RNG interconnections should be treated in the same manner to avoid placing RNG developers at a competitive disadvantage. In addition, requiring the Company to install interconnections at cost, as Staff proposes, would deny the Company a reasonable return on its investment, while creating additional financial risks and liabilities.

Westchester Moratorium

Q. Please describe any proposals made relating to a moratorium on new gas service in Westchester County.

A. MOA Burdick proposes (pp. 15-16) that the Company reinstate the moratorium on new gas service that had previously been in place in Westchester County and he also recommends that the Company investigate instituting moratoria in other parts of the Company's service territory.

Q. What justifications does MOA Burdick offer to support his proposal?

A. MOA Burdick claims that the capacity constraints that led to the original Westchester Moratorium in March 2019 may recur. In addition, MOA Burdick contends that NYS has adopted a policy to transition away from fossil fuels, so it would be consistent with and in accordance with such policy to consider moratoria.

Q. Does the Company agree with this proposal?

A. No, we do not. The moratorium was imposed due to a supply constraint, which was addressed, thus allowing the Company to lift the moratorium. The obligation to serve gas to customers remains in place.

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
GAS INFRASTRUCTURE AND OPERATIONS PANEL
REBUTTAL TESTIMONY

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.